

Strategic Case Study

Predicted Paper 6 - Suggested Answers

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Question 1(a) - Financial statements analysis and key issues before further growth (14 marks)

The Board should not assess the proposed budget sub-brand, SBU reorganisation and corporate leasing expansion only by reference to revenue growth. The 2025-26 results show that KMCH is still profitable, but the quality of growth has weakened. Revenue has increased, but margins, liquidity, interest cover, receivables and customer-service indicators have deteriorated.

Ratio calculations

Ratio / measure	Calculation	Result	Interpretation
Revenue growth	$(2,715 - 2,210) / 2,210$	22.9%	Strong top-line growth, but this must be assessed against margin and capital intensity.
Gross margin 2025	$1,075 / 2,210$	48.6%	Baseline.
Gross margin 2026	$1,190 / 2,715$	43.8%	Margin has fallen by 4.8 percentage points despite revenue growth.
EBIT margin 2025	$570 / 2,210$	25.8%	Baseline.
EBIT margin 2026	$530 / 2,715$	19.5%	Operating profit has fallen despite higher revenue.
Net margin 2025	$293 / 2,210$	13.3%	Baseline.
Net margin 2026	$217 / 2,715$	8.0%	Profit after tax margin has materially weakened.
ROCE 2025	$570 / (1,570 + 875 + 410)$	20.0%	Strong historical return.
ROCE 2026	$530 / (1,725 + 1,180 + 610)$	15.1%	ROCE is falling close to the minimum acceptable level for capital-heavy growth.
Current ratio 2025	$(90 + 370 + 185) / (310 + 160)$	1.37 times	Baseline liquidity.
Current ratio 2026	$(145 + 565 + 105) / (455 + 230)$	1.19 times	Liquidity has weakened.
Gearing 2025	$(875 + 410) / 1,570$	81.8%	Already material financial leverage.
Gearing 2026	$(1,180 + 610) / 1,725$	103.8%	Debt and lease liabilities now exceed equity.
Interest cover 2025	$570 / 155$	3.68 times	Comfortable but not excessive.
Interest cover 2026	$530 / 225$	2.36 times	Less headroom for further borrowing.
Asset turnover 2025	$2,210 / 3,325$	0.66 times	Baseline.
Asset turnover 2026	$2,715 / 4,200$	0.65 times	Asset base has grown faster than productive conversion.

Receivable days	Given in appendix	61 days to 76 days	Corporate leasing growth is increasing collection pressure.
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Interpretation and Board-level issues

- Revenue growth is not translating into profit growth. Total revenue increased by 22.9%, but EBIT fell from Rs 570 million to Rs 530 million and PAT fell from Rs 293 million to Rs 217 million. This indicates that additional activity is being won at lower contribution, higher service cost, higher finance cost or poorer operating efficiency.
- Gross margin has fallen from 48.6% to 43.8%. Direct fleet operating costs have increased from Rs 1,135 million to Rs 1,525 million, which is a 34.4% increase compared with 22.9% revenue growth. This suggests fuel, maintenance, vehicle operating cost, insurance and service commitments are putting pressure on the economics of growth.
- Technology and app support costs have increased sharply from Rs 75 million to Rs 130 million. This may be necessary for digital scaling, but the Board should require a clear technology roadmap, cyber controls, service-level agreements and measurable benefits before approving further digital expansion.
- Finance cost has increased from Rs 155 million to Rs 225 million. Interest cover has reduced from 3.68 times to 2.36 times. Further fleet investment, budget-brand launch or corporate leasing expansion may create covenant risk unless phased and financed carefully.
- Liquidity has weakened. Current ratio has fallen to 1.19 times, cash has fallen from Rs 185 million to Rs 105 million and receivable days have increased from 61 to 76 days. The growth strategy is tying up cash in vehicles, receivables and working capital.
- Gearing has increased to 103.8% if bank borrowings and lease/Ijarah liabilities are compared with equity. This suggests that KMCH has limited room to use more debt without weakening lender confidence.
- ROCE has fallen from about 20.0% to 15.1%. This remains positive but is declining. New projects should therefore pass a robust hurdle rate and should not be approved merely because they grow revenue.
- Operating KPIs are also deteriorating: utilisation has reduced from 66% to 63%, breakdowns have increased from 7.5 to 10.8 per 1,000 rentals, customer satisfaction has reduced from 86% to 80%, and support tickets have increased. This indicates operational strain.

Conclusion: KMCH can still pursue growth, but the Board should require disciplined capital allocation, segment-level profitability, cash-flow forecasts, stronger credit control, improved maintenance reliability and a cyber/control remediation plan before approving the budget sub-brand or aggressive corporate leasing expansion.

Question 1(b) - Corporate leasing and SBU / portfolio management (12 marks)

Reorganising KMCH into strategic business units is sensible if the current combined structure hides performance, cost drivers and capital usage. Corporate leasing should also be considered as a separate portfolio business line because its economics, risks and operating model are different from short-term self-drive rentals.

Rationale for strategic business units

- The existing operating model pools depots, fleet support, finance reporting and customer service. This can obscure whether premium self-drive, chauffeur services, corporate leasing, motorcycle tours and digital budget mobility are individually profitable.
- An SBU structure would improve strategic clarity. Each business line could have its own target customers, pricing model, service standards, asset allocation and KPIs.
- It would support better capital allocation. A corporate leasing vehicle locked into a three-year contract should not be assessed in the same way as a premium self-drive vehicle that can be repriced daily.
- It would create clearer accountability. SBU heads can be made responsible for contribution, utilisation, receivables, service quality, complaints and capital employed for their portfolio.
- It would make cross-subsidisation visible. For example, if corporate leasing appears profitable only because it uses spare vehicles and maintenance capacity from other units, the Board should understand this before expanding it.

Corporate leasing as a separate portfolio business

- Corporate leasing can stabilise revenue because customers enter one-to-three-year arrangements. This reduces dependence on daily retail demand and can improve baseline fleet utilisation.
- It may deepen relationships with banks, pharmaceutical companies, logistics coordinators and project-based businesses. This can support cross-selling of chauffeur, airport-transfer and premium services.
- However, corporate leasing has different risks: slower payments, service credits, replacement-vehicle obligations, maintenance commitments and fleet lock-in at pre-agreed prices.
- The increase in receivable days from 61 to 76 days is consistent with corporate leasing expansion. This indicates that growth in this segment should be accompanied by credit limits, contract-level collection monitoring and escalation protocols.
- Corporate leasing should therefore have its own pricing model, credit policy, service-level reporting and capital allocation limits. Contracts should include inflation clauses, maintenance cost pass-through mechanisms and clear limits on replacement vehicle obligations.

Risks of SBU reorganisation

- SBUs may create silos and internal competition for fleet, depots, IT capacity and maintenance resources.
- Duplicated overheads may arise if each SBU develops its own support functions.
- Brand consistency may weaken if budget mobility, premium self-drive and corporate leasing do not follow common customer, safety and data standards.
- Transfer pricing and cost allocation between SBUs may become contentious, especially for shared depots, shared IT systems and shared maintenance teams.

Conclusion: KMCH should proceed with an SBU structure, but initially for management reporting and accountability rather than full legal separation. Corporate leasing should be managed as a separate portfolio business line with its own profit targets, credit controls, service-level KPIs and capital limits.

Question 1(c) - Cybersecurity, data privacy and data ethics (12 marks)

The July 2026 incident is significant even though no confirmed financial loss has occurred. It exposed weaknesses in access management, customer document storage, telematics access, phishing resilience and incident response. These issues are especially serious because KMCH is proposing a more digital budget sub-brand, app-only booking and automated customer verification.

Cybersecurity risks

- Weak access management: former employees still had access and shared logins were used during peak periods. This undermines accountability and increases the risk of unauthorised access to customer documents and operational data.
- Phishing risk: two employees entered credentials into a fake vendor link. This indicates weak staff awareness, insufficient technical controls and potential risk of credential compromise.
- Lack of penetration testing: no penetration testing in the last 18 months means vulnerabilities in the app, admin portal, document upload process and vendor integrations may remain unidentified.
- Informal incident response: the IT team has not operated under a formal incident response plan. This could delay containment, customer notification, regulator communication, evidence preservation and system recovery.
- Vendor risk: if the app vendor, cloud provider or telematics provider has weak controls, KMCH may suffer customer and reputational damage even where the technical failure is outsourced.

Data privacy risks

- KMCH stores CNIC / passport images, driving licence scans, payment information and GPS data. This is sensitive data and should be collected only where necessary, retained only for an approved period and accessed only by authorised employees.
- The document folder was accessible to a wider group than intended. Access should be role-based and aligned with the booking, depot, customer-service or compliance need.
- Telematics and GPS tracking should be restricted by role and business purpose. Continued tracking after return of the vehicle creates privacy risk and may damage customer trust.
- Customers should be clearly informed what data is collected, why it is collected, who can access it, how long it is retained and when GPS tracking stops.

Data ethics risks

- Telematics data can be used to improve safety, route efficiency and vehicle maintenance, but it can also become excessive surveillance if used without transparency or proportionality.
- Dynamic pricing or app-based risk scoring should not unfairly penalise customers based on opaque assumptions. If algorithms are used, management should ensure fairness, explainability and human review for disputes.
- Data collected for one purpose, such as licence verification, should not be reused for unrelated marketing or profiling without proper consent and governance approval.

Recommended controls

- Implement role-based access control, multi-factor authentication, unique user IDs and immediate access removal for leavers.
- Prohibit shared logins. Emergency access should be time-limited, approved, logged and reviewed.
- Encrypt customer documents at rest and in transit, and segregate storage for CNIC/passport, driving licence and payment-related information.

- Limit telematics access to operational need and disable or anonymise tracking after vehicle return, except where data must be retained for a documented legal or dispute purpose.
- Perform penetration testing and vulnerability assessments before launching the budget sub-brand and at least annually thereafter.
- Run phishing simulations and mandatory cyber-awareness training for depot, customer service and finance teams.
- Approve a formal incident response plan covering containment, investigation, customer communication, regulator/legal review, evidence preservation and lessons learnt.
- Establish Board or senior management cyber reporting, including incidents, unresolved vulnerabilities, third-party risks and remediation deadlines.

Conclusion: The budget sub-brand should not go live until KMCH has remediated access control weaknesses, completed penetration testing, approved a data-retention policy and implemented a formal cyber incident response plan.

Question 2(a) - Budget sub-brand strategy, digital controls and performance monitoring (16 marks)

KMCH should assess the proposed budget sub-brand as a separate strategic and operating model, not merely as a discounted version of its existing premium business. The proposal may help KMCH compete with low-cost and app-based rental operators, but it also creates risks of cannibalisation, brand dilution, revenue leakage and weaker control if not designed properly.

Strategic case and brand positioning:

The budget sub-brand may be attractive because part of the market is becoming more price-sensitive. Younger customers, students, local families and app-based users may prefer lower prices, simple booking, standard vehicles and limited service features rather than KMCH's full premium experience. If KMCH does not respond, it may lose this segment to informal operators and low-cost competitors.

A separate sub-brand can allow KMCH to enter this value segment without reducing prices under the main KMCH brand. This is important because the premium brand is still needed for corporate clients, airport transfers, chauffeur-driven services and higher-value self-drive customers. The budget brand should therefore have a distinct identity, price structure and customer promise.

However, the main risk is cannibalisation. Some existing KMCH customers may move to the cheaper brand if the service difference is not clear. To reduce this risk, KMCH should differentiate the budget offering through:

- compact or older but reliable vehicles;
- app-only booking and limited customer support;
- lower flexibility on cancellation and changes;
- limited mileage / off-peak packages;
- separate pricing and separate service standards;
- no automatic access to premium vehicles or premium service features.

The sub-brand should not compromise safety, vehicle fitness or legal compliance. The cost saving should come from standardisation, digital processes and lower service intensity, not from poor maintenance.

Operational implications:

The budget model would require a simplified operating structure. KMCH should use a limited number of vehicle models to control maintenance, spares and downtime. Processes should be highly standardised, including booking, document upload, payment, security deposit, handover and return.

The budget brand may also improve utilisation by using vehicles that are safe and reliable but no longer suitable for premium customers. This can improve contribution from underutilised assets. However, the Board should monitor whether the sub-brand is attracting new customers or merely shifting existing customers from the premium segment.

Digital operating controls:

Because the sub-brand will rely heavily on digital processes, strong controls are essential.

Pricing and discounts - Prices, promotional codes and manual overrides should be system-controlled. Exceptions should require approval, and management should review reports on excessive discounts, below-margin bookings and repeated promotional use.

Customer verification - CNIC / passport, driving licence, payment card and security deposit should be verified before vehicle release. The system should retain time-stamped evidence of verification and approval.

Vehicle handover and return - Digital checklists, photographs, mileage, fuel level and customer acknowledgement should be captured at handover and return. This will reduce disputes over damage, fuel and late return.

Refunds and deposits - Deposit release and refunds should follow defined rules. Manual refunds, waivers and exception approvals should be reviewed to prevent fraud or inconsistent customer treatment.

Complaints and damage claims - Complaints should be logged and escalated based on severity. Damage claims should be supported by photographs, inspection evidence and repair estimates.

KPIs and benchmarking:

The budget sub-brand should not be monitored only through revenue growth. A low-price model can grow quickly but still destroy value if margins, refunds, damage, downtime or complaints are not controlled.

KMCH should use a balanced KPI set, including:

Financial KPIs

- revenue per vehicle;
- contribution per rental;
- gross margin by vehicle class;
- maintenance cost per vehicle;
- refund / compensation cost;
- customer acquisition cost;
- ROCE of the budget fleet.

Customer KPIs

- app conversion rate;
- repeat booking rate;
- customer rating / NPS;
- complaints per 1,000 rentals;
- complaint resolution time;

- cancellation and refund dispute rates.

Operational and control KPIs

- fleet utilisation;
- downtime;
- average handover time;
- late returns;
- breakdowns;
- vehicle damage incidents;
- manual price overrides;
- failed customer verification cases;
- deposit release exceptions.

Benchmarking should be done both internally and externally. Internally, KMCH should compare depots, vehicle classes and customer segments. Externally, it should compare pricing, customer ratings, app experience and service terms against low-cost rental operators. However, the budget brand should not be judged against premium KMCH service standards in every respect, because its customer promise is different.

Recommendation:

KMCH should launch the budget sub-brand only as a controlled pilot in selected cities, with a standardised fleet, clear brand separation and strong digital controls. The Board should approve scaling only if the pilot demonstrates incremental customers, acceptable contribution, controlled cannibalisation, low refund / complaint levels and reliable verification and handover controls.

The proposal can be strategically useful, but only if KMCH protects the premium brand and avoids turning the budget model into uncontrolled discounting.

Question 2(b) - APV, MIRR and critique of budget sub-brand appraisal (20 marks)

APV is appropriate because the project will have a financing structure different from KMCH's existing average capital structure. The project value should therefore be split between the ungeared operating value and financing side effects such as interest tax shields, arrangement fees and lender monitoring costs.

Step 1 - Base case ungeared NPV

Year	Cash flow item	Cash flow Rs m	Discount factor at 17%	PV Rs m
0	Initial investment	(540.00)	1.000	(540.00)
1	Ungeared after-tax operating cash flow	80.00	0.855	68.38
2	Ungeared after-tax operating cash flow	118.00	0.731	86.20
3	Ungeared after-tax operating cash flow	156.00	0.624	97.40
4	Ungeared after-tax operating cash flow	188.00	0.534	100.33
5	Operating cash flow plus terminal value / residual working capital recovery (210 + 230)	440.00	0.456	200.69
	Ungeared NPV			12.99

The ungeared NPV is positive by approximately Rs 13.0 million. On operating cash flows alone, the project only marginally exceeds the 17% ungeared cost of equity. The positive value is therefore not very robust before financing side effects are considered.

Step 2 - Financing side effects

Annual interest tax shield = Debt x interest rate x tax rate = Rs 300 million x 13% x 29% = Rs 11.31 million per year.

Year	Financing benefit	Rs m	DF at 13%	PV Rs m	Financing cost	Rs m	DF at 13%	PV Rs m
1	Interest tax shield	11.31	0.885	10.01	Lender monitoring cost	(2.00)	0.885	(1.77)
2	Interest tax shield	11.31	0.783	8.86	Lender monitoring cost	(2.00)	0.783	(1.57)
3	Interest tax shield	11.31	0.693	7.84	Lender monitoring cost	(2.00)	0.693	(1.39)
4	Interest tax shield	11.31	0.613	6.94	Lender monitoring cost	(2.00)	0.613	(1.23)
5	Interest tax shield	11.31	0.543	6.14	Lender monitoring cost	(2.00)	0.543	(1.09)
	PV total			39.78				(7.03)

APV component	Rs million
Ungeared NPV	12.99
Add: PV of interest tax shields	39.78
Less: Debt arrangement fee at Year 0	(9.00)
Less: PV of annual lender monitoring / reporting costs	(7.03)
Adjusted Present Value	36.74

The APV is approximately Rs 36.7 million. The financing structure improves the project mainly through the interest tax shield. However, the project is still not a very large value creator relative to the Rs 540 million initial investment, and therefore the assumptions require close scrutiny.

Step 3 - MIRR calculation

MIRR is calculated by compounding positive operating cash flows to the end of Year 5 at the reinvestment rate and comparing the future value with the initial investment. This is more realistic than ordinary IRR because it does not assume reinvestment at the project IRR.

Year	Positive cash flow Rs m	Compounding period	Compounding factor at 15%	FV at Year 5 Rs m
1	80.00	4 years	$1.15^4 = 1.749$	139.92
2	118.00	3 years	$1.15^3 = 1.521$	179.55
3	156.00	2 years	$1.15^2 = 1.323$	206.31
4	188.00	1 year	$1.15 = 1.150$	216.20
5	440.00	0 years	1.000	440.00
	Future value of positive cash flows			1,181.89

PV of negative cash flows at finance rate = Rs 540 million, because the only negative project cash flow is at Yr 0.

$MIRR = (FV \text{ of positive cash flows} / PV \text{ of negative cash flows})^{(1/5)} - 1 = (1,181.89 / 540)^{(1/5)} - 1 = 16.96\%$.

The MIRR of approximately 17.0% is close to the ungeared cost of equity of 17%. This supports the APV conclusion that the project is only modestly attractive and that the financing tax shield is important to the final positive APV.

Critique of assumptions

- Utilisation risk: The project assumes sufficient demand for 250 vehicles. If utilisation is lower than expected, fixed technology, marketing and fleet costs will reduce contribution quickly.

- Cannibalisation risk: Management estimates 12% cannibalisation from premium vehicles. If actual cannibalisation is higher, the group-level benefit will be overstated because premium contribution may be lost.
- Pricing risk: The budget sub-brand is priced 22% below premium rates. Low-cost competitors may respond with further discounts, reducing the achievable margin.
- Customer acquisition cost: Budget customers may be more price-sensitive and less loyal, requiring higher marketing spend and promotional discounts than assumed.
- Refund and dispute risk: The lower-touch model may create more deposit refund disputes, damage claims and customer complaints, increasing cost and reputational risk.
- Maintenance and residual value risk: Compact vehicles used intensively in a budget model may suffer higher wear and tear, reducing terminal value and increasing operating cost.
- Cyber and system readiness: The recent incident suggests that app and data controls require investment. If remediation costs are not included, the appraisal is optimistic.
- Financing risk: The APV assumes tax shields are available and usable each year. If taxable profits are lower, or deductions are restricted, the PV of tax shields may be overstated.

Conclusion: The budget sub-brand has a positive APV and MIRR close to the required return. It should not be rejected, but the financial case is not strong enough for an uncontrolled roll-out. The Board should approve only a phased pilot with utilisation, cannibalisation, complaints, refund leakage and cash conversion milestones before committing to full scale expansion.

Question 3(a) - Tax implications (12 marks)

The Board should not assume that the same tax treatment applies to all forms of vehicle use. Budget rentals, corporate leasing, chauffeur-driven services, app-based services and ljarah / asset-backed financing may have different income tax, withholding tax and provincial sales tax consequences.

Income tax treatment

- Business income: Rental income, corporate leasing income, chauffeur service income and app-based rental income should generally be taxable as income from business under section 18 of the Income Tax Ordinance, 2001.
- Deductibility of expenses: Operating costs such as vehicle repairs, maintenance, staff costs, app support, marketing, customer verification, insurance and service costs should generally be deductible under the general principles in section 20 if incurred wholly and exclusively for business purposes and supported by documentation.
- Inadmissible deductions: Section 21 restrictions must be considered. Expenses may be disallowed where withholding tax obligations are not met, payments are unsupported, documentation is inadequate or statutory conditions are not complied with.
- Depreciation / tax depreciation: If KMCH purchases vehicles, depreciation for accounting is not the same as tax depreciation. Tax depreciation / allowances should be calculated under the relevant provisions such as section 22 and the applicable schedules / tax depreciation rates. The financial model should therefore use tax depreciation, not accounting depreciation, when calculating taxable income.
- ljarah / asset-backed financing: If vehicles are obtained through ljarah or leasing, management must distinguish legal ownership, accounting recognition and tax deductibility. Rentals / finance components may be deductible only to the extent allowed under tax law and subject to proper withholding, invoice and contract documentation.
- Withholding tax: Payments to service providers, contractors, app vendors, maintenance vendors, insurers, marketing agencies and lessors may require withholding under relevant withholding provisions, commonly including section 153 depending on the nature of goods, services or contracts. Non-compliance may create tax default and deduction disallowance risk.
- Bundled invoices: Corporate mobility invoices that combine vehicle use, maintenance, replacement access, driver support and platform charges can create classification issues. The contract should clearly split components where tax treatment differs.

Sales tax and provincial services tax

- Services are generally taxed by provinces, while goods and certain federal matters fall under federal sales tax. Rent-a-car, chauffeur-driven services, app-based services and corporate mobility services may be taxable services under the relevant provincial sales tax laws depending on province, service category and place of supply.
- KMCH operates in more than one province, so the place where the service is provided, received, billed or consumed must be analysed. Province-wise registration, invoicing and return filing may be required.
- Reduced-rate services may restrict input tax adjustment. Therefore, if a province taxes a service at a reduced rate without input adjustment, KMCH may not be able to recover sales tax paid on related inputs.
- Input tax on vehicles, spares, repairs, digital services, maintenance and professional services should be claimed only where allowed, supported by valid tax invoices, used for taxable business activity and not restricted by the relevant law or notification.

- App-based rentals may involve digital platform charges, payment gateway charges and technology support. These may be taxable services separately from vehicle rental and should not be hidden inside one undifferentiated charge.
- Chauffeur-driven services may involve a mix of vehicle rental and driver / transport service. The applicable category and rate should be confirmed for each province before pricing contracts.

Practical recommendations

- The appraisal should include tax depreciation, withholding tax compliance costs, non-recoverable input tax and province-wise service tax assumptions.
- Contracts and invoices should separately identify rental, driver support, maintenance, platform fees, replacement vehicle access and any reimbursable expenses where classification differs.
- KMCH should obtain tax advice before signing bundled corporate contracts or Ijarah arrangements, because incorrect classification may cause tax demands, penalties, disallowances and cash-flow leakage.

Question 3(b) - Change management and employee capability (14 marks)

The proposed budget sub-brand and SBU reorganisation represent a significant organisational change. The resistance described in Appendix 7 is predictable: depot managers fear loss of authority, premium teams fear brand damage, operations staff fear job losses, finance staff worry about segment reporting, and IT staff believe the timetable is aggressive. KMCH needs a structured change-management approach rather than simply announcing a new structure.

Create and communicate a clear case for change

- Management should explain why change is needed: revenue growth has become less profitable, receivables are increasing, customer expectations are changing and app-based competitors are growing.
- The communication should be honest that the budget brand is not intended to replace premium KMCH, but to serve a different segment and protect the group from low-cost disruption.
- The Board and senior management should communicate the vision consistently, including what will change, what will not change and how employees will be supported.

Engage stakeholders and address resistance

- Depot managers should be involved early in defining handover controls, refund rules and SBU reporting. This reduces resistance and uses their operational knowledge.
- Premium service teams should be reassured that premium service standards, customer experience and brand investment will continue. The budget sub-brand should have separate service promises and KPIs.
- Operations staff should receive clarity on whether roles will change, which tasks will be automated and where new roles will be created in digital handover support, verification and complaint handling.
- Finance and IT teams should be given realistic timeframes and resources. The launch should not be driven only by marketing urgency after a recent cyber incident.

Build employee capability

- Training is required on the new app workflow, automated document upload, customer verification, digital deposits, vehicle return evidence, damage documentation and refund disputes.
- Customer-service staff should be trained to explain the difference between premium and budget service levels without making customers feel misled or treated unfairly.
- Finance teams should be trained on SBU reporting, cost allocation, segment profitability, receivables monitoring and KPI dashboards.
- Depot managers should be trained in data-driven decision-making, budget-brand KPIs and escalation protocols.
- IT and operations staff should receive cyber-awareness, access-control and incident-response training before digital operations expand.

Use a phased pilot and change governance

- KMCH should pilot the budget sub-brand in one or two cities or vehicle groups rather than launching nationwide immediately.
- A cross-functional steering group should include marketing, operations, finance, IT, HR, tax and customer service.
- The launch should have clear stage gates: system readiness, cyber remediation, staff training completion, refund controls, customer verification controls and pilot KPI performance.
- Change champions should be appointed in depots and SBUs to support adoption and provide feedback to management.

Align KPIs and incentives

- KPIs should not reward only cost reduction or volume growth. Employees should also be measured on customer satisfaction, complaint closure, verification accuracy, damage documentation, safety and control compliance.
- Depot managers should be assessed on controllable measures. They should not be unfairly penalised for centrally determined pricing, IT system downtime or macroeconomic cost increases.
- Incentives should encourage collaboration between SBUs, not internal competition for the best vehicles, customers or maintenance resources.

Monitor, review and reinforce

- Management should establish feedback loops through employee surveys, depot workshops, pilot reviews and customer complaint analysis.
- Post-implementation reviews should identify whether the budget sub-brand is achieving incremental demand or simply cannibalising premium business.
- Successful behaviours should be recognised publicly, while repeated control breaches should be addressed through coaching or disciplinary processes.

Conclusion: KMCH should not rush the change merely to respond to competitors. A phased, well-governed implementation with employee involvement, training, realistic timelines and balanced KPIs will improve the probability that the budget sub-brand and SBU structure deliver sustainable value.